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Intercontinental Exchange, Inc. (ICE)

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CORPORATE PARTICIPANTS

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

MANAGEMENT DISCUSSION SECTION

Unverified Participant

All right. Thank you, everyone. We're going to get going with our next session. Next up, it's my pleasure to introduce Jeff Sprecher, Founder, Chairman, and CEO of ICE. Over the course of 2018, ICE made significant progress in expanding its data services products, particularly around pricing and analytics while obviously better volatility environment is driving acceleration the firm's trading business which we've obviously seen nice pickup here in the fourth quarter. So, welcome. We look forward to getting your updates on the business and how you guys are thinking about 2019.

QUESTION AND ANSWER SECTION

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So I guess on that point, just starting with your near-term sort of outlook. In 2018, data service growth was obviously a very important growth driver for the company. You guys see an acceleration of that growth in really the back half of 2018. So as we're thinking about the forward, what are sort of your priorities for the organization as we're thinking about 2019?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Well, by the way, thank you for being here. Thanks for looking quite good for us right now. As you mentioned, we've seen this acceleration in the subscription part of our data business which – that portion of the business that we track. Went from an ASV of 5% to 6% and now 7%, so that's sort of a forward-looking revenue driver for us that'll lead into 2019. And our open interest across our futures trading platform which is a big part of our business is up 11%, open interest being positions in the clearinghouse that people will either come back to add to, subtract from close out or otherwise manage. So it's generally a future predictor of revenue growth for us. So we're ending this year and going into next year looking pretty good.

And at the same time, we're seeing the central banks slowly leaving the financial markets and volatility obviously coming back into the markets. And that bodes well for people like us that manage risk.

Q

That makes sense. Let's unpack that a little bit, maybe just focusing on the trading part of the business first. So if I look at the energy side of things, volumes are up really nicely. Last time I checked something in the mid-teens in the fourth quarter year-over-year in the energy franchise. Obviously, the volatility we've seen is helpful, but I was hoping you can unpack a little bit of what's going on kind of underneath the surface a little bit with customer engagement or any particular part of the trading franchise that's seen more "kind of organic growth momentum" as opposed to just, hey, volatility has picked up because oil is at $50.

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yeah. Well, I'll do that. It's hard to get over the fact that oil went way up and came way down and we sort of run the world's oil mark. We have the largest franchise in the world's oil markets, so that volatility is clearly going to bleed into us.

But when you look at oil, just the price of oil as a flagship for the energy business, we still have very uncertain times ahead, right? Oil comes from the Middle East where there's a number of different political issues right now, comes from Russia, a number of different political issues. And you have this increase in oil coming from the U.S. So the whole complex, the geopolitical complex around the oil business is still highly volatile. You would think a lot of these issues are not going to be resolved quickly.

And that issue, and if you've heard me speak before, is very subject to acts of God, just the supply chain issues of dealing with energy around the world, just as constantly has natural volatility that has nothing to do with a central bank or government. And so that business does very well. And what we've seen is these ships that have changed people's risk position in the market, and as a result of that, driving sort of new behaviors. One of the things we've done is we've launched what we call Permian WTI. So we've launched the U.S. oil contract that's very targeted at the oil from fracking, delivered in the Gulf Coast so that it would become ship-borne.

And it's a new contract for us. We've got probably more than 30 commercial oil company users that are – that are already – have used that contract. So it's a small starting off a small base, brand-new, but all the right people are around it, helped us design it, and we've seen some very good early growth and very positive feedbacks.

And so I've built the business with my colleagues and I built the business around the commercial end user who helped us specify those contracts, and we worked on it for a number of years with the market. And so we still see a lot of engagement from these commercial users that are trying to manage risk.

It probably wouldn't surprise you to hear that as oil prices move around, natural gas prices and all the products that come out of a barrel of crude move around. And we've seen really a lot of volume growth coming out of Europe, the European energy complex. Some of it probably Brexit-related, just people trying to hedge potential Brexit risk and what that may do to the supply chain. But also just a continued maturation of the markets in Europe as they sort of independently price energy away from the U.S. And those trends are long-term macro trends that I think will continue in our businesses for quite a while. Makes sense.

Q

Speaking on some of the new kind of trading-related build-outs you guys have been working on, I want to spend a couple of minutes on credit. Over the years, you've obviously assembled several interesting assets. Originally you have the CDS trading platform. Then you kind of branched out into the HELOC credit trading network. And obviously with the recent acquisitions of BondPoint and TMC, you have a few other offerings out there. Help us understand, I guess, how you plan to bring these platforms together? Is that enough to become a more meaningful competitor in electronic credit trading against some of the incumbents that are out there?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. So first of all, the reason for the focus on this space with us and competitors is that there is an analog to digital conversion that's largely going on in the fixed income markets, one of last really large markets. The mortgage market is another one that we're dabbling in for the same reasons.

But we wanted to be in that space. I think people would be surprised to know we're probably the largest revenue and net income generator in that space, in the infrastructure space if you add together everything that we've now built, bigger than the public company, pure play competitors that we all talk about. And for me, probably around $1 billion or maybe north of $1 billion a year in revenue already.

What we did, and I'm not sure the market fully thought, but we bought Interactive Data Company, which is really the gold standard for pricing fixed income assets. It's an independent pricer of fixed income assets, one of the two big players in that space.

And then we went and bought from S&P their bond, pricing and valuation business, turned around and licensed back to S&P the output of what this combined thing is so that they could use it for ratings. And we then went to Bank of America and bought their franchise which brought indices, fixed income indices, about $1 trillion of fixed income instruments benchmarked against these indices. And then as you pointed out, we bought two small trading platforms that were really designed at the wealth management space.

We put that all together, today we – then we started to work with people like BlackRock who wanted to move into this area that people are calling self-indexing, in other words create your own indexes that you can control the pricing over. But in order to do that, you need a lot of data and a lot of analytics and what have you. So we're in the background doing that for BlackRock. We started the year with about $100 billion of ETFs benchmarked against us. Today it's about $160 billion, probably up 60% year-to-date. The ETF growth, about half of that organic and about half new things that we've built bought or launched. And so, that business is going very, very well.

And now what we've taken is these execution platforms where we're putting the workflow together on them. We've got essentially a streaming central limit order book. So, as opposed to request for quote, we've gone in to the CLOB as they call it, the central or mid order book. And we've got about 10,000 bonds that are – at any – you can look at that have at least 250 bonds that have bid and offer prices on them. So we have a very liquid central limit order book in the liquid part of the market. And last quarter we did about 800,000 trades again, so it's growing.

And then the last thing we've done is we just announced that we're licensing from BlackRock a suite of technology that they use to settle their ETFs to buy bonds and sell bonds at the close of business to balance keep the ETFs in balance for fixed income ETFs. We're going to take that and institutionalize it and make it available to everybody to help the ETF market grow and take friction out of that buy and sell. And we think as we plug all that together, we've got this amazing suite of data analytics trading settlement services that is capturing the alpha that's coming from the analog to digital conversion.

So it's not a direct competitor to some of these other things, but it's in the space that's capturing the same growth profile, and we paid a fraction of what the market valuation is putting on fixed income assets. So it's been a really rewarding thing to put together and still it's still yet to – a lot of it is yet to play out, so we're quite excited about it.

Q

Yeah. You mentioned the partnership with BlackRock and that was actually my next question. Just thinking about. ETF hub, I think, is kind of how you guys called it, the capabilities that it's going to create for obviously BlackRock but also other ETF manager over time as other folks join. Can you just help us contextualize how that could ultimately lead to more of an institutional ecosystem for extinct for credit trading? And then is there a way to expand that into other fixed income products because honestly there's more than just credit ETF that are out there.

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yeah. So just to elaborate a little bit more that the problem with the ETFs is as money comes in, the ETFs need to buy the bonds, and as money comes out the ETFs need to sell the bonds, and so then that all is happening at the close of the market. So you've got a window of time when people are very, very active moving a lot of inventory around and some of that inventory is very specific because these ETFs may have a narrow focus and so they've got to buy or sell specific set of bonds.

And so what we're building is something where we've gone to all the ETF providers and then one of the backdrops is that the New York Stock Exchange Group through in its Arca platform is the largest listing venue for ETFs. That we know all the ETF providers and we've gone to all of them and said, we've got this technology, we're going to institutionalize it, please plug into it. We've got a huge positive reception because everybody's dealing with the same problem.

So the goal will be you're going to see robust trading around the close of the markets to settle these ETFs. But there's no reason that it has to stop at the close of the market, so it could easily move backward at time, if you've got all the right players on it. And with low friction, they're getting their needs filled. So we're quite hopeful, given the response that we've seen in the institutional markets to this thing. We're going to open it up so that all kinds of people can plug into it ,dealers, other execution platforms, you name it, we're going to really open it up and be at the middle of it. So we hope that we can be the net aggregator of liquidity because of this big demand to serve the ETF space.

And the second part of your question, what's interesting is, yes, this could be used for other asset classes and not just necessarily fixed income. It could potentially go into trade equities or anything that that becomes put into an exchange-traded product. All have the same end-of-day kind of problem.

And because we're negotiating with all of the major ETF sponsors, already a lot of ideas are coming out about what we should pivot to next. So I do think you'll see this grow. It's a high priority for us. I have a lot of people working on it, building it. We've brought in a number of new fixed income specialists to take control of it and manage it. And so hopefully deliver real results in 2019, sometime in 2019.

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Great. Shifting gears to the other part of the business, on data services, as you highlighted earlier, the pricing analytics continues to be a pretty big growth engine within that part of the business. 7.5% organic growth in the third quarter, up meaningfully from the first part and kind of the backlog or the forward ASV looks quite constructive as well, I think up 8% as entering Q4.

Talk a little bit about what the drivers are. And more importantly, how sustainable is this momentum as we look out into 2019?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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So we took a bunch of businesses that were either given away for free or we're growing at 2% or 3% that were kind of sleepy, and we put them together and put a better focus on them, and we've grown them high-single digits, which is really rewarding because as a manager, when you look at these kinds of things, you say that's a sleepy business and I think our team could do better. You never really know how much of that is driven by ego and how much of that is common sense. And fortunately, my ego wasn't in the way and there was common sense and those businesses are doing really well. A lot of that growth and how sustainable is it is fixed income data. And so a lot of it is being driven by an analog to digital conversion. There's just more debt in the world. And so you've got more SKUs, if you will, and it's hard to see that going away. And as you have more debt in the world, you have more off-the-run, hard-to-value, illiquid securities that are on people's balance sheets that need to be priced in, and we're basically the go-to source for people to do that.

So I think it's going to be – and as central banks get out of the market on the debt side here and there's more volatility in all of our markets, I think the demand is going to continue to go up. We're doing more and more of that pricing in real time. We do $3 million bond securities where we basically have real-time algorithms that get pricing. And the demand is increasingly not to do end of day, but I want real-time pricing. All of us are consuming data. None of us will go to a restaurant anymore without looking at who the last eater was that was there that made a comment about it, right?

So we're all living in a real-time data world and that is the demand, and it just seems to continue to grow. So I think it's very sustainable. And while the analog to digital conversion of bonds is going on, there's always going to be a big, illiquid, off-the-run OTC, hard-to-value part of the market just given the nature of the way bonds are constructed.

Q

Let's shift gears and talk a little bit about some of the regulatory topics that are impacting you guys but also really the whole lot of things change ecosystem, one being obviously the debate around U.S. equity market structure in equities. We've seen the two days of SEC roundtable and discussions that went on during that time. I guess the question is what's next and what do you expect the path to be from here, and ultimately whether or not we'll see any material changes to the way the business has done today.

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Forget my crystal ball out of that. Well, we bought the New York Stock Exchange maybe four years ago or so. And I thought the market structure along my colleagues and we were like, this is ridiculous and we should we should propose a complete radical change to the market structure that would make this operate much better. And so we came up with a bunch of ideas and went around to buy-side and sell-side firms, other exchanges and said, could all get together and take a solution to government that they could bless. And what I found was everybody has a different idea. The rate of change in market structure in securities is dinosauric.

And so with that proposal still out there. I would hit the bid tomorrow if we can do it. But we proposed just recently why don't we freeze all trading costs or fees, freeze all data fees, and lower, make or take, for pricing from $0.30 100 shares to $0.05 (sic) [$0.10] or make it de minimis or some other de minimis number. Even that's controversial. And that's just saying, why don't we just freeze any rate increases? And you get all kind of – and so I don't expect a lot to happen, it seems like it's a whole bunch of nibbling around the edge. And there's all kinds of litigation where we've sued and we've got all kind of – we're supposed to come back. I think the industry is supposed to come back with 300 new rate filings that are supposed to all be vetted and then we've got all kinds of lawyers working on these. And so I wouldn't hold your breath for a massive change. It would be great if we could all get together and come up with something that was simplified. I think we'd all do better.

But everybody has a different idea about how they'll do better and somebody else will do worse. And I'm not naïve. What happens in markets is that nobody manages risk or trades or picks stock unless you think you have an edge. I think most of you in the room here, your edges, you're listening to me, you have knowledge, you've studied more than a casual observer who may buy my company's stock.

I mean, everybody has some kind of an edge that causes you to make a trading decision. Whenever you try to make a change the market structures, somebody thinks their edge is being lost and somebody thinks they're gaining an edge. And to try to plead that to government and to sort through, what's fair is almost an impossible task honestly. So I do hope at some point we as an industry can agree on some things maybe I was too naive to try to do it all in one bite. But even trying to get somebody – we'd be willing to freeze our fees, because we don't actually grow our revenues by raising our fees, we believe will grow our revenues by people consuming more stuff.

We generally don't touch these, I think we have the first product we launch was Henry Hub Natural Gas in year 2000.And I don't think we've ever changed the fees, we have a spend. I mean, that's one of our key products that you see. It didn't grow because we messed with the fees but we were able to increase distribution. So anyway, I kind of shrug and say I don't know what to expect other than they're not going to be fast.

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Sure. Fair enough. I'm not going to ask to take out your crystal ball for next question but...

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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There wasn't much of a crystal ball, I would say. I don't know. I don't think much has been asked.

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...the more I guess the more realistic or more the apparent concern that we've obviously had even over the last couple of days here is around Brexit and the implications that could really have on UK and European exchanges and clearing houses, and obviously it has a way of impacting you guys as well. So in the event of a hard Brexit, no deal Brexit, what's the impact on ICE both from the revenue perspective and expense perspective?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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So we have an exchange in clearing house in the UK and we have an exchange in clearing house in Amsterdam which is in the continental EU. And they both run on the same technology and they both use all the same systems, and so we did that in case we had to "move" which isn't really moving in the way the press talks about banks moving. It's really, over the weekend do we change the contract from one database to another database? And we've done this before. We've moved contracts in different venues as the market participants want to trade them in different places.

But that's the simple answer. The hard part is there's a lot of planning that goes into that and a lot of communication and the industry is somewhat paralyzed. And so fortunately, in the last few weeks, the EU has very publicly come out and said whether there's a hard Brexit or negotiated Brexit, we're going to allow European firms to continue to have access to exchanges and clearing houses in London. They've said that. They actually have to do something to codify it. So there's work yet to be done but the regulator, the main Brussels regulator over these industries has indicated that it is their intent to try to find a technical fix.

It will likely have some duration on it that will not be an infinite fix. That would allow time to sort out where the markets can move. And so I don't think there'll be an immediate impact on us because I actually think there's a lot of – and I talked to these regulators directly and they called me in and indicated that they don't really want to create financial risk in the marketplace beyond what Brexit may do. And try to do what they can to minimize it. Longer term, what you're really seeing is the European Central Bank would like to have direct regulatory oversight over a euro-denominated products where in a crisis a lot of liquidity would be needed.

They would prefer to have that directly as opposed to having euro products in the U.S. or the UK or Asia where they may have an impact on their economy but they may not have a direct way of dealing with it. During the Lehman crisis, the Bank of England had the bulk of the risk of swaps in a clearing house that's in the UK and they borrowed euros from the ECB in order to provide that euro liquidity. And the ECB is saying, I'd rather not go through a third-party. And so on a purely logical basis, you can understand what the ECB is doing. Does that mean long-term that some of these markets move, that some of them

get fragmented that maybe there's two pools of liquidity, some inside the EU, some outside the EU. Headlines yesterday or today were that France and Germany are still talking about ways of putting a financial transaction tax on products. So would global products be willing to be in the EU and be subject to taxation or would they prefer to be outside? There's a lot that can happen.

But I think the good news for investors is it's not going to be a bug hitting the windshield. I think there's going to be a leeway for things to move around and get settled because everybody that's in a regulatory arena agrees that to shock the system might put risk into the system when it's really not needed. Yeah. That makes sense. And we're well-positioned because we have assets around the world which we did as a hedge for these kinds of things honestly.

Q

If you think about your exposure from a European domicile customer base and UK clearing houses, is there a way to kind of help us to think about that risk in terms of like how much we ultimately have to move to understand that there's going to be some leeway?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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It's small, probably single-digit or maybe low-double-digit number of people that trade in our markets are actually located – we think are located in Continental Europe. It's hard to get precise because people come through brokers or they do an OTC deal that gets back to back into an exchange. We only see the exchange side, not the OTC side. But maybe logically I could tell you that we trade the world's oil contracts there. We trade the all kinds of sugar and cocoa and cotton. We have real global business that's in London that, yes, there are people in the EU that want access to it but they're not probably the dominant players.

In fact, if you look at London broadly in all the trading business, which would include my company, the London Stock Exchange, the London Metal Exchange, and a lot of OTC business, it's mostly dollar-denominated, it's not even sterling-denominated, and because it's global and people have used the dollar as the global currency.

So, the products that the ECB is most concerned about and probably rightly so are potentially interest rate swaps and overnight repo. Those are two asset classes that in a stressed environment, interest swap just because of the sheer size of the market and overnight repo because it's being used to fund so many financial institutions and infrastructure, those are the two markets that in a real stress situation in a Lehman situation require potentially drawing on euros in order to support the market. It's not necessary intervention, it's just people literally need access to euros in order – as contracts are being resolved and what have you.

And so I think if I was betting on it that you'll see over time some pressure for those contracts in some reasonable size to be located in the Eurozone post Brexit assuming that Brexit happens. And those products already have – some of them are well on their way actually to build the infrastructure in the Eurozone. So it may not be that big of a shock.

Q

Another other topic that something we've got to worry about I guess on the horizon is LIBOR phase-out which again is an important one. And it's still a couple of years out, but it's getting closer and we're starting to hear some of the alternative contracts, starting to get a little bit momentum. How do you expect this process to unfold and how is that going to impact you guys both on the data side since you administer LIBOR and on the trading side?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yeah. So we bought the LIBOR contract after the financial crisis. We paid £1 for it. I'm confident that we're money good on that one. It's going to take a long time to phase out LIBOR because there are so many 30-year instruments that are tied to it and that don't have the ability to necessarily go in and rejigger them.

The kind of swap and high-level financial contracts that use ISDA that are interbank or bank to large buy side can potentially be moved to different settlements through an ISDA-type process along with government help. But there's a student loans, okay, that LIBOR base student loan. I mean, it's going to be hard to bring in individual students over their life.

Many of students are leaving with tens of thousands of dollars of debt and may have that debt their entire life and it's LIBOR-based. It's not easy to do a one-on-one renegotiation. So we think that there will be a long-term LIBOR component. And we've said that we will be there. We have different techniques, different ideas on how we could continue to administer LIBOR. But while that's happening in the background, contingency plan, we're working with government to try to stimulate the use of other rates and we've launched SONIA and [indiscernible] (31:12) which – so the U.S. and the U.K. alternative rates on our platform, SONIA being the European rate and we're doing very well with that. I mean, people are trading it. They're trying to stand up a market, they're trying to get price expressions. We also price expressions.

We also have the LIBOR-based rates to trade. And so there's a spread between them and hedging going on between the two. But overall it's increased trading volume. And so this has actually been a good thing for risk management and for us even though on its phase you may say, well, you own LIBOR and LIBOR may go away. The reality is it's probably not going to go to zero, and in the meantime there's a lot of arbitrage and different risk management needs which is where we make money.

Q

Yeah. Great. Well, we might have time for one question. So, raise your hand if you got one. Yes. One out there.

Q

Thanks. On the issue of the interest rate swaps, in addition to being a Brexit issue, it's also U.S. and Europe equivalence issue. So how do you think that plays out with respect to Europe having equivalence with the U.S. and vice versa?

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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It's a great question and it's really a thorny political issue because if you take my premise, which is just my belief, that this is really about euro-denominated interest rate swaps having access to ECB liquidity, what's important – if that's the base case, what's important is figuring out how to get them a large majority of those so that they can have access to the ECB directly. And there aren't that many euro-denominated swaps cleared in the U.S. and most of them are cleared in the UK. And so one would expect a needle to try to be thread where somehow you treat both countries similarly but you get the desired result.

The fear is – the Black Swan problem is as everybody gets – you can't thread that needle and the equivalence between not just the U.S. but it's also Asia, and I've had exchange in Singapore and Singapore is worried about the equivalence issue, how do you thread that needle to get the desired result without really impacting trading of all products everywhere?

One thing I'll tell you is that a lot of the people, the direct regulators that are overseeing this, are very knowledgeable. I mean, these people really understand how all the rules are written around the world and they understand the needle they're trying to thread. So I think they'll find a way to do that. And it may take a long time, it may be more of a gradual.

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Right.

Jeffrey Craig Sprecher
Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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In order not to not to disrupt things.

Unverified Participant

All right. Jeff, thanks very much for joining us today.

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Thank you, all.